

PART I

ITEM 1. BUSINESS

Apple Inc. reported total revenue of \$391.0 billion for fiscal year 2025, representing a 5.2% increase year-over-year from \$371.8 billion in fiscal year 2024. iPhone revenue was \$200.6 billion, accounting for 51.3% of total revenue. Services revenue reached \$96.2 billion, growing 14.1% year-over-year and achieving a record gross margin of 74.0% in the services segment. Mac revenue was \$29.4 billion, iPad revenue was \$28.3 billion, and Wearables, Home and Accessories contributed \$36.5 billion.

ITEM 1A. RISK FACTORS

Risk Factors: Apple faces significant risks including dependence on key component suppliers, particularly for advanced semiconductor chips manufactured by TSMC. Supply chain concentration in East Asia, especially Taiwan and China, exposes the company to geopolitical tensions, natural disasters, and trade restrictions. The company's iPhone product line accounts for over 51% of total revenue, creating concentration risk. Regulatory scrutiny of App Store practices in the EU under the Digital Markets Act could materially impact Services revenue and margins.

ITEM 7. LIQUIDITY AND CAPITAL RESOURCES

Apple reported operating cash flow of \$118.3 billion for FY2025, with free cash flow of \$107.2 billion after capital expenditures of \$11.1 billion. The company returned \$95.0 billion to shareholders through dividends (\$15.6 billion) and share repurchases (\$79.4 billion). Apple held \$51.2 billion in cash and marketable securities. Total debt was \$98.1 billion. The board authorized an additional \$90 billion share repurchase program.